

Economics — PREVIEW

Course: CPA — Certified Public Accountant | **Level:** Foundation Level (CA14)

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

Contents (full paper)

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1. What is economics? Scarcity, choice and opportunity cost

Economics is the study of how individuals, businesses and governments allocate scarce resources among competing, unlimited wants. Because resources are limited while wants are effectively unlimited, every choice involves an **opportunity cost** — the value of the next best alternative given up. **Microeconomics** studies individual consumers, firms and markets; **macroeconomics** studies the economy as a whole.

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB CPA paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

CPA FOUNDATION LEVEL — ECONOMICS (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Define "economics" and explain "opportunity cost" with one example. (8 marks)
- (b) State the law of demand and the law of supply. (6 marks)
- (c) Outline THREE non-price determinants of demand. (6 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes demand and supply, equilibrium and elasticity, market structures, national income, inflation, unemployment, fiscal and monetary policy, a fully worked equilibrium/elasticity question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.